



Acres
RESEARCH

 **Simpan** ASSET
MANAGEMENT

The Smart Investor's Guide to Investing in Indonesia

Part 2

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Understanding Style Factors Plays a Critical Role in Driving Returns

Unlike developed markets which are deeper and more liquid, Indonesia's equity market is flow-driven and heavily influenced by foreign investors, making returns cyclical and sensitive to macro shifts, sentiment, and capital flows.

Success with Indonesian Stocks requires nuance and adaptability. Investors ought to consider:



The structural characteristics of the Jakarta Composite Index (JCI), including sectoral concentration and ownership structures.



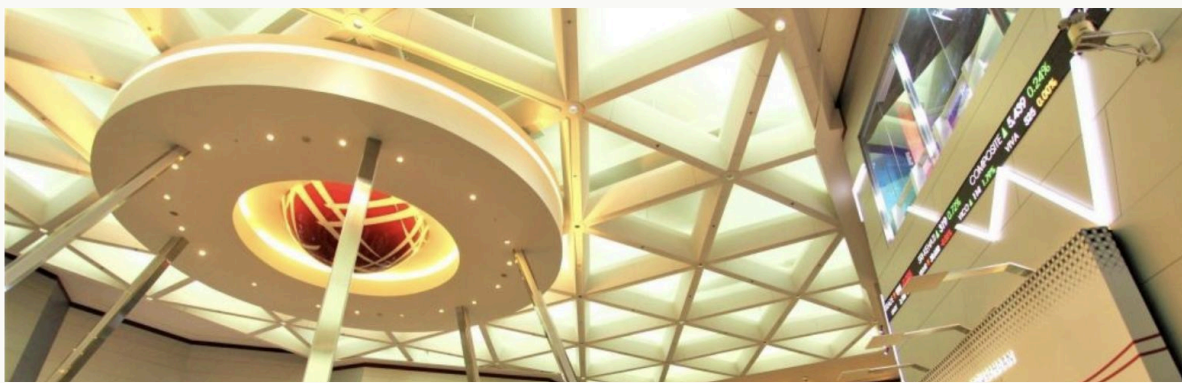
A limited investable universe, with only a subset of stocks offering sufficient liquidity, transparency, and institutional quality.



Sensitivity to macroeconomic shifts (e.g., interest rates, commodity prices, FX) and **external flows**, particularly from global risk-on/risk-off cycles.

Foreign Capital Flows Play a Major Role in Driving Market Movements

Foreign investors have maintained a trading volume share averaging 40% since early 2024. While this may seem like a minority compared to domestic participation, **IHSG's performance** is **significantly tied** to foreign investors' net purchases.

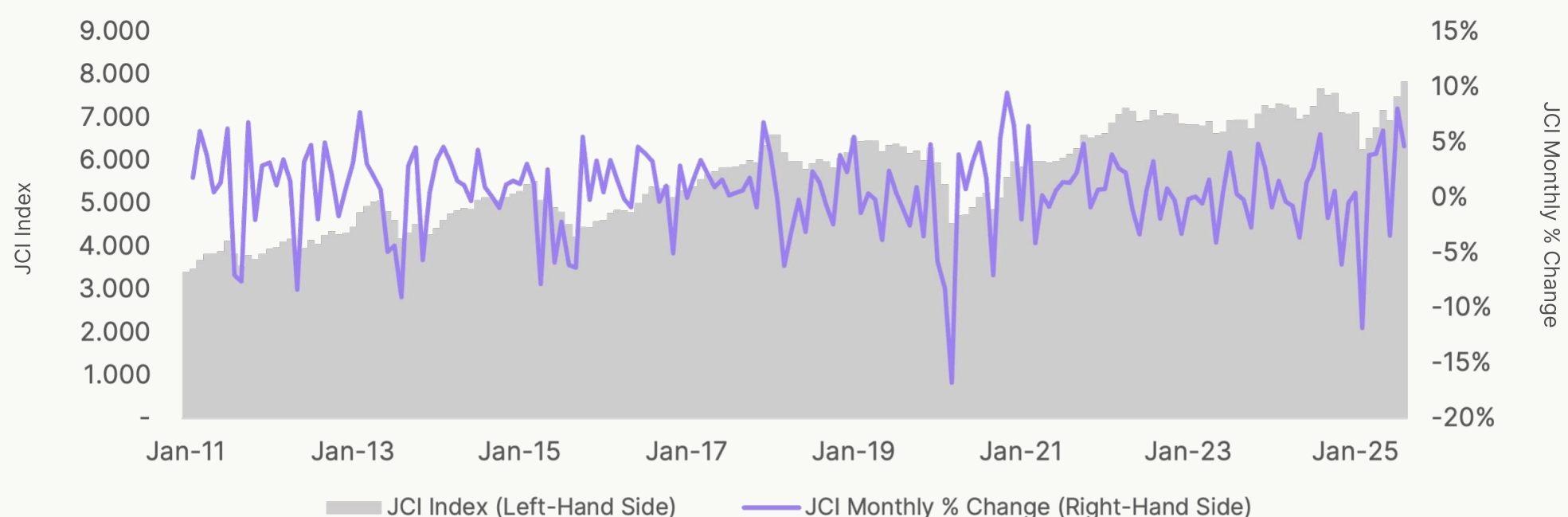


“The Indonesian equity market is structurally shallow because of limited domestic institutional depth, a retail-driven market, and low stock liquidity, which allows these (foreign) flows to act as price-setters.”

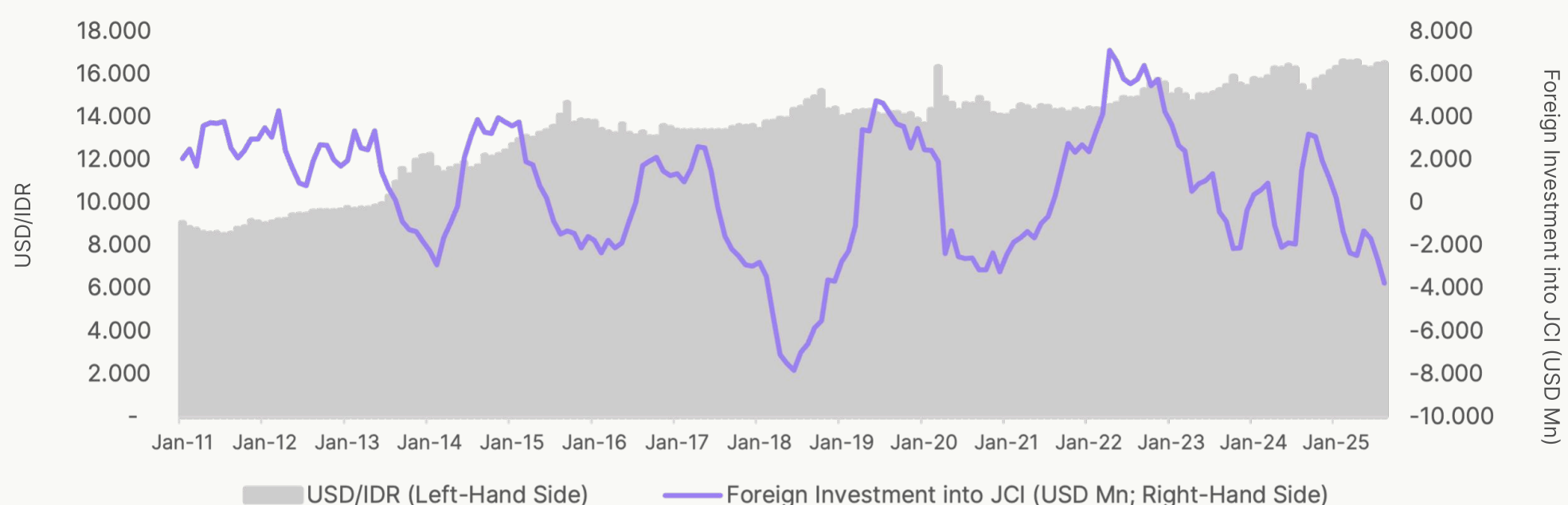
Mohit Lalchandani,
Portfolio Manager of Simpan Asset Management

A **positive net foreign inflow** typically aligns with a **positive monthly performance** of the IHSG, while negative net flows often coincide with lower IHSG performance. Significant foreign pullbacks can dry up liquidity, heighten volatility, and pressure the rupiah, with banks and commodities most exposed.

- 1 The JCI continues to perform but comes with Volatility as hidden cost



- 2 Volatility is driven by foreign flows, from global macro events beyond Indonesia's control, as reflected in IDR performance.

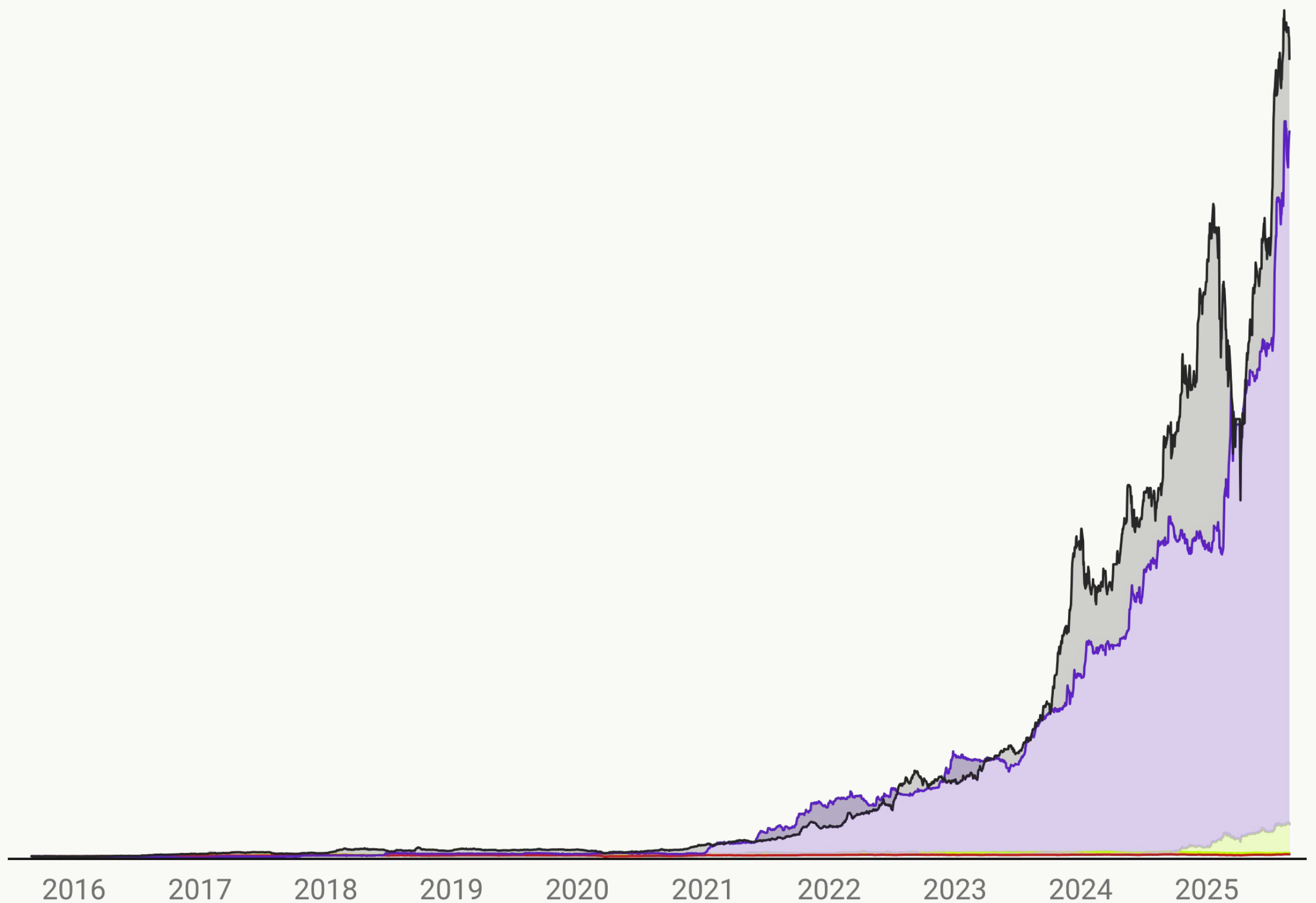


This shift, invites **opportunities for domestic funds** to fill the gap by increasing capital-market participation as valuation dislocations could offer **deep value for long-term allocators**, and over time, the market may recalibrate toward local fundamentals, laying the foundation for a healthier base.

Blue Chips Alone Can't Outperform the Market

Indexed Comparison Benchmark

— JCI — Growth Stocks — Blue Chip — Momentums — Large Caps



During periods of foreign inflows, **blue chip stocks** (e.g. BBCA, BBRI, BMRI, and TLKM), which are heavily owned by global investors, tend to track the IHSG. In contrast, momentum-driven stocks **outperform in environments** with weak foreign flows, supported by domestic retail and institutional rotation.

Domestic Investors to the Rescue amidst Foreign Outflows

In 1H25, IHSB faced over **US\$3bn in foreign outflows** amid political risk, budget cuts, and social unrest, pressuring large caps. Domestic institutions (Danantara, BPJS, corporate buybacks) and retail investors **offset this**, lifting mainly small and conglomerate-owned stocks.



“With foreign ownership at multi-year lows, liquidity in foreign-heavy names has thinned. Near-term momentum is domestically led, while foreign re-entry hinges on clearer policies, fiscal disbursement, and global rate stability.”

Mohit Lalchandani,
Portfolio Manager of Simpan Asset Management

How Busy Individuals Typically Invest...

The financial markets often feels like competing against traders and institutions with far greater resources and expertise. Instead of attempting to outsmart the market, retail investors are better served by a Dollar-Cost Averaging (DCA) approach—investing a fixed amount at regular intervals. DCA is a common starting point because it instills discipline, builds consistency, and helps investors stay focused amid short-term market noise.

Difference Between Investing Strategies		
Strategy	Frequency	Strength/Risk
Lump-Sum	Once	Offers immediate market exposure and the highest long-term return potential but carries significant timing risk if markets.
DCA	Regular Intervals (Weekly/Monthly)	Smooths volatility and reduces timing risk through gradual deployment, though it may underperform in steadily rising markets.
Tactical Asset Allocation	Opportunistic	Can enhance risk-adjusted returns by buying on dips and trimming on peaks, but poor execution or weak discipline can create losses.

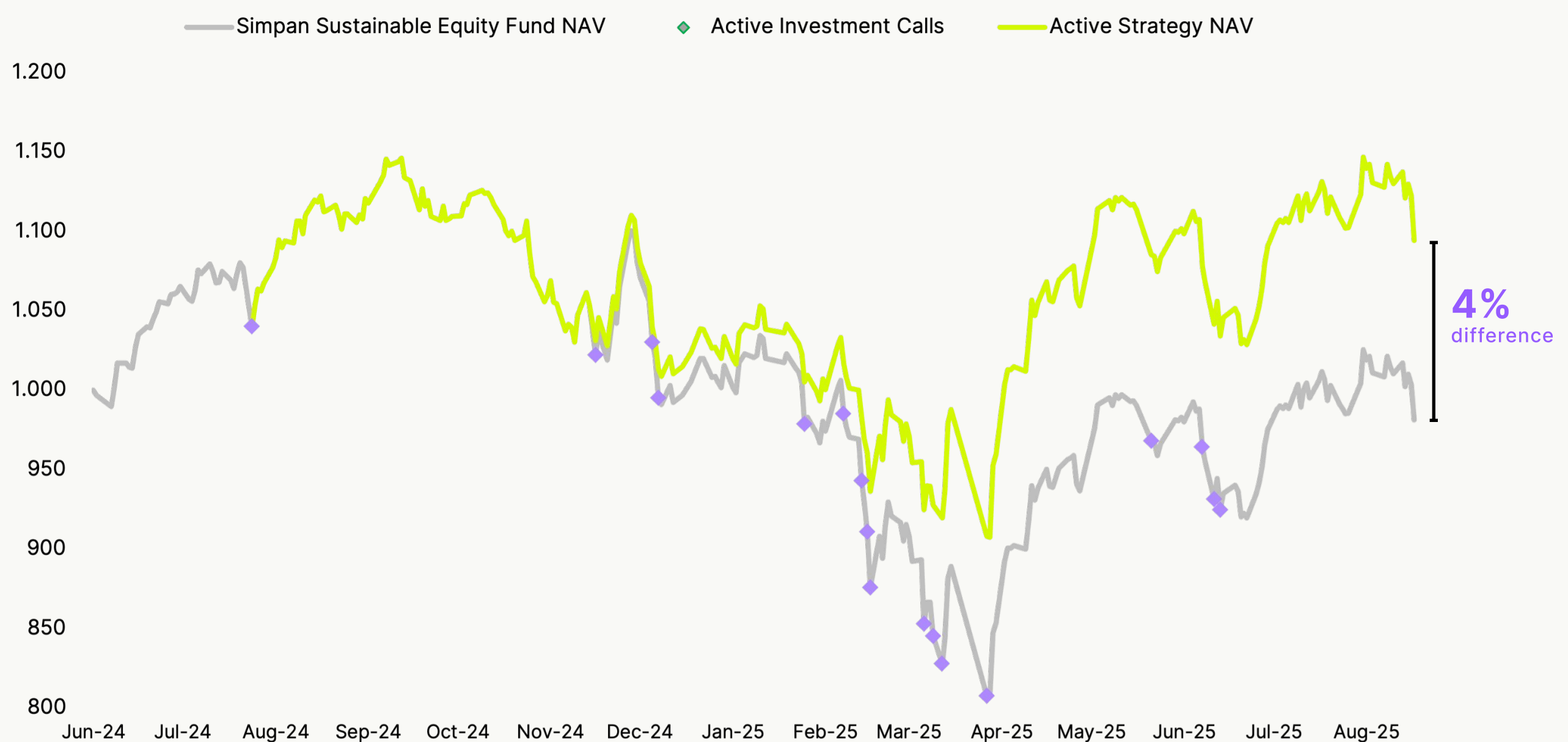
But Simpan wants to challenge this approach.

By also **allocating extra capital during market corrections**, investors can accumulate assets at more attractive valuations and unlock stronger long-term gains. Combined with passive exposure to diversified funds or ETFs, this **creates a more resilient portfolio** that goes beyond the limits of DCA alone.

For Indonesia, It's Not Time in the Market but Timing the Market

DCA discipline alone doesn't always maximize returns. In markets where timing plays a bigger role (such as Indonesia) relying solely on averaging down may leave potential gains untapped.

With active portfolio management, growth can outpace a basic DCA approach



DCA keeps you invested, but better outcomes often come when entries are **timed more strategically**. **An actively managed approach**—rebalancing portfolios, adjusting positions as conditions change, and signaling when to buy more—could deliver up to **4% higher returns** than DCA alone.

With Simpan, you'll soon be able to benefit from active portfolio management and rebalancing, so you don't have to second-guess your investment decisions.

Research & Partnership Overview

This collaborative research aims to help retail investors understand what actually works in Indonesia's unique and often misunderstood market environment.

About



Acres Research is an alternative finance and economics firm powered by Young Leaders of Indonesia, McKinsey & Co., founded by students who aim to explain the complex financial world without the technical jargon.



Simpan is Indonesia's leading wealth manager for family offices, HNWI and digital investors. We manage wealth on behalf of our clients, and build technology to deliver global standards in a local asset management firm.

*) Investment Manager KEP-08/BL/MI/2012 & Investment Advisor KEP-54/D.04/2019

Data as of **10 September 2025**

Reference: CNBC, IDX, Bloomberg, Simpan Data